shares. Hence it is very unlikely that you will obtain a lower overall return from a (representative) closed-end company, bought at a discount, if its investment performance is about equal to that of a representative mutual fund. If a small-load (or no-load) fund is substituted for one with the usual “8½%” load, the advantage of the closed-end investment is of course reduced, but it remains an advantage.

TABLE 9-4 Average Results of Diversified Closed-End Funds, 1961–1970[a]

	1970	*5 years, 1966–1970*	*1961–1970*	*Premium or Discount, December 1970*
Three funds selling at premiums	–5.2%	+25.4%	+115.0%	11.4% premium
Ten funds selling at discounts	+1.3	+22.6	+102.9	9.2% discount

[a] Data from Wiesenberger Financial Services.

The fact that a few closed-end funds are selling at *premiums* greater than the true 9% charge on most mutual funds introduces a separate question for the investor. Do these premium companies enjoy superior management of sufficient proven worth to warrant their elevated prices? If the answer is sought in the comparative results for the past five or ten years, the answer would appear to be no. Three of the six premium companies have mainly foreign investments. A striking feature of these is the large variation in prices in a few years’ time; at the end of 1970 one sold at only one-quarter of its high, another at a third, another at less than half. If we consider the three domestic companies selling above asset value, we find that the average of their ten-year overall returns was somewhat better than that of ten discount funds, but the opposite was true in the last five years. A comparison of the 1961–1970 record of Lehman Corp. and of General American Investors, two of our oldest and largest closed-end companies, is given in Table 9-5. One of these sold 14% above and the other 7.6% below its net-asset value at the end of 1970. The difference in price to net-asset relationships did not appear warranted by these figures.